Minutes Of The Meeting Held On March 29, 2006 – Public Fee Hearing

Pine Valley Special Service District Meeting (PVSSD)

Attending Members: Mary Esther Putnam (Chairwoman); Gerald Schiefer (VC); Dall Winn; Ron Snow; Ryon Gardner

Absent Member: N/A

Also Present: Steve Robinson (Fire Chief), George Cropper (Treasurer) and Beverly Udell (Secretary)

Guests: Gae Robinson; Guin Winn; Howard Putnam; Larry Gardner; LaMar Terry

Welcome – The meeting was called to order by Mary Esther at 6:00 P.M. with the opening being the Pledge of Allegiance. She then announced that this was a public hearing to discuss a proposed impact fee for all new construction and additions in Pine Valley, plus a possible raise in the annual fee structure. Mary Esther then opened the meeting to questions and answers from the public.

Q - Gae: How much are the proposed impact fees?

A - Mary Esther: We are looking at a $1500 fee for new home construction, plus of course there is the already existing $2000 fee that goes to the P.V. Irrigation company for the water hook-ups, so the total cost in P.V. fees for the new home owner would be $3500.

Q – Larry: What is the need for the Impact Fee? Is it for enlargement of this building? I don't think we need the growth. While I appreciate the services that we have, I want to know the justification for growth of the building.

A - Mary Esther: There are currently 20+ firefighters who train in this small room – it obviously needs to be larger for that purpose. Also we have a new fire truck being delivered soon.

A – Steve: Many of the trainings that we do, such as with SCBA's, are hands on and require more than just sit down room.

Q – LaMar: Is the new bay requirement because of the new truck? Is the truck too big and therefore won't fit? Aren't we also getting rid of a truck?

A- Steve: Yes, we will be getting rid of the military truck, and yes, the other truck will fit into the bay. When Dall and I first started, we both talked about expanding the training room, so that is nothing new. We also have a severe exhaust problem in the bay.

A- Dall: The exhaust issue is a big worry for me. Once we start up these big trucks, the exhaust is horrible. We have all of our firefighters changing into their gear within feet of the exhausts. That is so unhealthy and combined with the age of our fire fighters – well, we are just asking for trouble. To me, that should be the number one priority if we expand, is to get our fire fighters where they can suit up in safe clean air.

A- Steve: In the 1, 5 and 10 year plan that was proposed several meetings ago, we addressed the need for expansion.

Q- Larry: Why don't you just pull out the trucks and use the bay for training, or do trainings outside?

A- Steve: Weather – it would be freezing out there in the winter.

A- Gae: We also have EMT trainings that we hold here.

A- Steve: We also have other types of hands on training that people don't think about. An example is training for fire shelter deployment. We need fire shelters for all of our troops, but we can't do that training on gravel because it would ruin the shelters.

Q- Larry: So are you looking to expand this room?

A- Steve: Yes. Expansion would definitely be done in stages, as needed or as we have the funds to do so. The first stage could be an addition to the training rooms, the second might be another dressing area and office, the third might be a bigger bay in the long run.

A- Dall: Nothing is in ink as far as an expansion. As I said, I see the biggest need is having a place to dress into turnout gear. It is nasty trying to get dressed in that exhaust. I think the health of our firefighters is paramount, especially because our firemen are getting along in years. We also have to look at our equipment and clothing, which gets sooty and black because of the exhaust. We have talked about different ways to expand to allow for a turnout dressing spot, plus room for additional training.

A- Steve: In the winter we have an average of 14 firefighters during regular training, but in the summer that number jumps to about 26.

Q- Larry: I obviously didn't know all what you do during trainings. I am not at all here to knock what you are doing, because I think it is great, I am more here for information.

A- Steve: We would love to have you come to a training session. (Steve then detailed some of the things that go on during trainings.)

A- Gerald: We also have 11 members who have been through the full Wild Land Training Course. They then come and train everyone else here, plus we have structural trainings.

A- Dall: Larry, we REALLY have come a long way. Most of our fire fighters are equipped with full turnout gear and radios. Most of that has been paid for through grants and help from the P.V. Dinner Committee. We can't expect, nor are we any longer allowed, to let our people fight fires without proper gear. Gone are the days of people just showing up with their shovels. When we had a fire at the reservoir, it wasn't a good or safe scenario that we had 100 townsfolk show up to help. While we appreciated the desire, it was not safe because they didn't have training nor proper protective gear.

Q- Larry: Believe me, I truly appreciate and applaud everything. My concern is that we don't have an attitude that it is better if we keep growing bigger, simply for the sake of growing bigger.

A- Gerald: Most of our Board has said the same thing with that caution, but we have come to the consensus considering our growth and future, it is definitely needed. Currently we have 56 year round families, which already makes us much bigger. We have 450 homes, and soon the growth could be to 600 or more. Whether we like it or not, we ARE growing bigger.

A- Larry: Of course you are right. Let me say again how much I appreciate everything all of you are doing.

A- Steve: And the 1, 5 and 10 year plan was for minimal needs, not extravagant ones.

Q- LaMar: In review of other communities, are we trying to out-do and get bigger than all the rest? We are a smaller community than some of the others, but we seem to have more equipment.

A- Gae: We don't have more equipment at all, maybe just some different – like Central has a water tender that we don't have – but we all share in the aspect that if we need them they will come running and vice versa.

A- Bev: We are also in a different situation than other towns because of our location. We are not off of a main highway. We are far off in the distance, with only one road coming in. We have to be more self sufficient than the other towns. It would take them quite a while to get here to help us and any fire could be very out of control by the time we received help from the Feds or the other towns. We have to be good just to try to save ourselves.

Q- Larry: My second question is about what the impact fee amounts are.

A- Mary Esther once again explained the fee thoughts are $1500 for a first time home construction, and a .50 cent per foot fee for any additions.

Q- Larry: Additions clarified as barns, sheds, etc.?

A- Yes.

Q- Howard: How has the response been from the rest of the public – complaints or are they in agreement?

A- Mary Esther: Erle Snow called and said he was going to make more calls to talk to other people, but other than that I haven't really heard much.

Mary Esther: Just to let you all know, we didn't get the information out soon enough regarding the proposals. It was supposed to be out 14 days in advance of this meeting and we weren't aware of that so we only have had it out for about 9 days. So we have tentatively set another public hearing for April 18. Then we will vote about a week later.

Steve: Another thing to know is that the impact fees can only help the structure/building itself. We can not use any impact fee money for anything else. The proposed fee increase would help with the rest of what we need as far as equipment, gas, etc. Other Special Service Districts have the same problems, so over the next year there will be many other Special Service Districts that will be implementing Impact Fees. Just to let you know too, the grant money that used to be available is now being phased out. That will become less and less. And an FYI, we were only one out of three in all of Utah that got a new truck.

Larry: You are right, I know that everyone is having the same trouble.

Ron: Even with the grants, we still have our portion that we have to come up with the money for.

Mary Esther: As I was calling around, all the other areas already have much larger fees than we are asking. In Santa Clara, it is a $13,000. fee! Not that we want to compete with a big city, but there certainly is a discrepancy compared to what we are asking.

Larry: They have to charge for what services they get, which are much more than what someone here gets. But even in P.V., the water fees are charged to the new builder.

Mary Esther: Do we think that our cheap impact fees might bring people into Pine Valley to build simply because it's so much cheaper than to build anywhere else? Hmmm, something to consider.

Q- Larry: Now what about the annual fee increase? I am concerned about such a big jump to our budget.

A- Ron: It is certainly much better that imposing a Mill Levy which assesses fields and pastures too. We are only asking for fees from properties with homes on them. People here don't want to pay a Mill Levy. Other people like Veyo, Central and other places are charging $200-250 and much more for their fees.

Q- LaMar: Well it looks like from 2003 our budget has increased a lot. Was it all needed?

A- George: That is not a good assessment because a lot of that just looks inflated because of grants.

A- Ryon: Maybe we should have another budget meeting.

A- Mary Esther: We did already have one Ryon. It was on one of those dates that you were absent.

A- Guin: Just look at what has happened to gas prices alone since 2003!

Q- What is the difference between operating expenses and misc. expenses on the budget sheet?

A- George: I can't off the top of my head answer that question as far as what is in each category. I can certainly look that answer up once I get home.

A- Look on page three and that might answer it.

A- Another difference between 2003 and now is the way we budget for grants. We have to budget for the "intent" of what we are asking for, even if we end up not getting the grant in the long run. Federal grants we always have a cash outlay. State grants are different in that we can use "in-kind" towards our portion of the payment. Right now, we have to have $12,000 in cash to pay for the new truck. We always have to incorporate the money in the budget hoping we will be awarded a grant, but of course not knowing if we will indeed be awarded it.

Q- Larry: Does the whole budget go to the fire department? What about things like insurance?

A: Dall and Steve explained our insurance benefits.

A- Ron: And also, just so you all know, originally the firemen gave up the contracted money that they had earned a few years ago fighting fires and gave it towards the fire department needs.

A- Steve: For several years, the P.V. Dinner Committee paid for the life insurance for the fire fighters.

A- Bev: But we can't always rely on the Dinner Committee to pay for that. There might not always be a Dinner Committee. By rights the insurance should be paid for by the Special Service District.

A- George: At first I was hesitant about a fee increase. Then last summer I did an analysis of what we spend. At the time, I was hugely surprised to find out that the money we bring in just barley keeps our doors open. After that I was a convert of raising the fees.

A- Larry: Well then that is why we have these meetings – to educate all of us.

A- Steve: Back to the 1, 5 and 10 year plan. We never before have had any type of reserve funds to replace things five years down the road. With a fee increase, we will be able to accomplish that.

Q- LaMar: Are the 2005 books available to see?

A- George: Yes.

Q- Gae: Another thing is that as EMT's, we have to buy all of our own supplies, gas, training, etc., out of our own pockets. That should also be included in the budget.

A- Steve: We also respond as EMT's to Central and ride the Enterprise ambulance when needed.

A- Mary Esther: They even supply their own Band-Aids.

A- Gae: We are always on call. Sometimes we get calls by way of being beeped from and other times it's calls from neighbors directly.

A- Gerald: The number of people coming into the Valley is growing exponentially, so of course our costs are going up to.

A- Larry: Yes, our growth is certainly an issue and we want new comers to feel welcomed.

A- Mary Esther: And feel protected.

Q- LaMar: Is the user fee just homes? Are there really that many homes here?

A- Yes and Yes.

A- Mary Esther: And another thing that we have to remember is that our personal homeowners insurance is only half the cost that it was a few years ago, which is totally because of the fire department. That in and of itself more than makes up for any fee increase we are proposing.

A- Steve: Our ISO rating went from a 9 down to a 6 and allowed our insurance rates to all go down by half.

A- Dall: The Water System gets kudos for that too. Without water, we can't fight fires.

A- Gerald: Then Dall looked at the age of our crew and saw that we needed to have EMT's there just in case!

Q- LaMar: Why are 2nd homes assessed at 57% more on our taxes? What is the justification for that?

A- Larry: That is state law. It is not that 2nd homes are assessed higher, it is instead that the primary residence is actually reduced.

Q- Mary Esther: Okay everyone, after what you have all heard, how do you feel about our proposals?

A- Larry: I agree with the Impact Fee. I agree also that you should have a budget.

Q- Steve: What is the state limit on carrying a excess reserve in the budget?

A- Larry: I am not sure, but I know that you are allowed a cushion.

Q- Steve: Will we have to have a raise every year and go through this same thing, or can we raise it a little more each year.

A- Larry: The Water Company cannot make more than 12%. In our rates, we try to break even.

A- Steve: in one year alone, our gas prices triples to make our budget go way up.

LaMar: I think the Impact Fee is important. I am still a little concerned and ask you to please carefully scrutinize the user fee you are proposing. I don't want anyone to think "bigger is better". Please take a careful look at that.

Gerald: I am absolutely against anything that is fees or taxes, but we have had those discussions about bigger not being better at each meeting. Believe me, we are definitely careful with that and that is not what we are doing at all.

Guin: At one of the last meetings, George said a $50 increase would barely cover the costs.

Ryon: I would still like to be clearer on the budget.

Gerald: We did cover the budget in a prior meeting that you were not here for. George, can you get him a copy of that budget?

Ron: We also should comment on the new alarm across the valley on the West side.

Steve: The Dinner Committee paid for the new alarm, which is on the Brooks house, plus they (the Dinner Committee) have pledged to pay for another one which will give us three across the Valley.

Q- Mary Esther: Well, it is 7:20 – can we close?

At 7:20 PM, Dall moved for the meeting to adjourn. Ron seconded.

Gerald: Just want to remind everyone of the Fire Council meeting on March 31 @ 6:00 PM.

The next Public Hearing meeting will be held on Tuesday, April 18, 2006 at 6:00 P.M.